

Circular S-05 — Mandatory Cyber Insurance and Incident Recovery Fund Requirements

Reference:	FRA/S/2025/005	Issue Date:	15 Apr 2025
Effective Date:	01 Oct 2025	Response Deadline:	31 Aug 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Insurance Mandate

All regulated firms with total assets exceeding USD 500 million must maintain cyber liability insurance with minimum coverage of USD 50 million per incident. Firms below this threshold must maintain coverage of at least USD 10 million. Policy terms must include first-party and third-party coverage, regulatory defence costs and business interruption.

2. Coverage Requirements

Policies must cover: ransomware payments (subject to Authority approval before payment); data breach notification costs; regulatory investigation costs; crisis communication expenses; and system restoration costs. Coverage exclusions for nation-state attacks must be specifically reviewed and disclosed to the Authority.

3. Insurer Standards

Cyber insurance must be placed with insurers rated A- or above by AM Best or equivalent. Captive insurance arrangements require prior Authority approval. Firms must notify the Authority of any material change to coverage within 5 business days.

4. Certification

Submit proof of current cyber insurance coverage to the Authority by 31 Aug 2025 using Form FRA-CYB-INS-001. Annual renewal certificates must be submitted within 10 business days of policy renewal.